

International Trade Law

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What is International Trade?

- ▶ International trade means the **commercial transaction or exchange** that occurs **between two or more countries**.
- ▶ Is the exchange of goods and services **across international borders**
- ▶ It is different from **domestic** trade which takes place **within a country** and uses **local currency**.
- ▶ In most countries, it represents a significant share of **GDP**.
- ▶ While international trade has been present throughout much of history, its impact has been on the rise in recent centuries, mainly because of **industrialisation, advanced transportation, multinational corporations**, etc...

What is International Trade?

- ▶ In fact, it is probably the increasing prevalence of international trade that is usually meant by the term "globalisation"- becoming as a small village.
- ▶ Without international trade, nations would be limited to the goods and services produced within their own borders.

What are the reasons for International Trade?

- ▶ **First**, **Countries are not self-sufficient** and need to transact with each other.
- ▶ **Secondly**, the goods or services that a country or an individual has may not be of good quality and they need **to get those goods and services with better quality** from somewhere else.
- ▶ **Thirdly**, when taking into account the cost of production of making certain product and **if the cost of production is expensive in one territory** vis-à-vis the other, it would be good for that country to import those goods with cheaper cost.
- ▶ There are also different **theoretical explanations** for trade between countries:

What are the reasons for International Trade?

- ▶ **Opportunity cost:** Those things we have to give up in order to get more of what we want are called opportunity cost, and they determine what countries produce for trade.
- ▶ The products a country decides to produce **depend on what must be scarified to produce them**; that is, whatever resources a country uses to produce one product are no longer available for producing some other product.
- ▶ **Comparative advantage:** trade is mostly driven by differences between countries.
- ▶ Having the **ability to produce** a given product **at a lower opportunity cost than its trading partners**.
- ▶ **Differences** in technology, natural resources, land/labor ratios, government policies, institutions, and other factors **can all lead to differences in the prices** of both inputs and outputs in the absence of trade.
- ▶ These price differences create incentives to trade.

What are the reasons for International Trade?

- ▶ One of the major sources of differences between countries is **in factor supplies**; that is, differences in availability of arable **land**, skilled **labor**, **capital**, etc.
- ▶ A country with an abundance of forested land will likely export forest products, a country with an abundance of highly skilled workers will export goods and services that are intensive in their use of skilled labor, and a country with an abundance of labor relative to capital and land will likely have relatively low wages and so export labor-intensive goods and services.
- ▶ **Technological differences** also affect trade in both goods and services.
- ▶ For example, countries with access to sophisticated medical technology will export medical services.
- ▶ **Differences in institutions and legal systems** can also be important.

What are the reasons for International Trade?

- ▶ Differences in legal and regulatory systems affect the **degree of confidence** that a foreign client has in a firm, and this can affect its export success.
- ▶ **Differences in regulatory systems** can also affect the **speed and flexibility** with which traders can respond to customers' needs, and this too will generate differences between countries that affect trade patterns.
- ▶ **Some differences**, such as skill levels and technological knowledge, are not innate characteristics of countries but evolve over time in response to economic decisions made by policy-makers and individuals within a country.
- ▶ It is therefore useful to distinguish between **short-run differences** between countries and those that persist in the **long run**.

What are the reasons for International Trade?

- ▶ Knowledge of new technology will diffuse across countries.
- ▶ Hence, specific **technologically-based differences** may only provide **short-run** explanations of trade in specific goods.
- ▶ However, countries that have institutions that encourage and reward innovation should on average be expected to export innovation-intensive products or processes even in the long run.

Absolute advantage: If a nation is the **sole producer** of an item, it has an absolute advantage over all other nations in terms of that item.

- ▶ Another absolute advantage exists when one nation can make something **more cheaply than its competitors**.

Summary of theoretical recommendations:

- ▶ **Mercantilism** proposed that a country **should try to export more than it imports**, in order to receive gold. The main criticism of mercantilism is that countries are restricted from import, a prevention of international trade.
- ▶ **Adam Smith** developed the **theory of absolute cost advantage** that a country should produce goods or services if it uses a lesser amount of resources (labor) than other countries.
- ▶ **David Ricardo** stated in his **theory of comparative cost advantage** that a country should specialize in producing and exporting products in which it has a comparative (relative production cost) advantage and it should import goods in which it has a comparative (relative production cost) disadvantage.

Summary of theoretical recommendations:

- ▶ **Hecksher-Ohlin's theory of factor endowments** stressed that a country should produce and export goods that require resources (factors) that are abundant in the home country. **Leontief tested the Hecksher-Ohlin theory** in the U.S. and found that it was not applicable in the U.S.
- ▶ **Raymond Vernon's product life cycle theory** stressed that a company will begin to export its product and later take on foreign direct investment as the product moves through its life cycle. Eventually a **country's export becomes its import**.

What is free trade?- Arguments for and against

- ▶ When there is a trade, it does not necessarily mean that there are no restrictions on trade
- ▶ We need to **limit the number of products** that we import, **the number of labors** that come to our country, the **amount and kind of services** that are provided by foreign service providers, etc.
- ▶ So, there are restrictions. Countries impose **high tariff** on products; they introduce different **regulatory measures** or **regulations** for limiting or restricting goods and services.
- ▶ **Free trade, also called laissez-faire**, a policy by which a government does not discriminate against imports or interfere with exports by applying **tariffs (to imports)** or **subsidies (to exports)**. A free-trade policy **does not necessarily imply**, however, that a country **abandons all control** and taxation of imports and exports.

What is free trade?- Arguments for and against

- ▶ Thus, it is all about a **relatively free flow** of goods and services
- ▶ Proponents of free trade advocates **trade liberalization**, as an **instrument of free trade** – promotes free trade
- ▶ **Trade liberalization** is the **removal or reduction of restrictions or barriers** on the free exchange of goods between nations.
- ▶ These barriers include **tariffs**, such as duties and surcharges, and **nontariff barriers**, such as licensing rules and quotas.
- ▶ Economists often view the **easing or eradication** of these restrictions **as steps to promote free trade**.
- ▶ The theoretical case for free trade is **based on Adam Smith's argument** that the **division of labour** among countries leads to specialization, greater efficiency, and higher aggregate production.

What is free trade?- Arguments for and against

- ▶ Proponents of free trade presented the following **advantages**:

Competition: when there is **free flow** of goods and services, **there will be competition among the products** and their **price will be decreased** for we will have a high amount of supply. Then, it would be affordable for the consumers.

Diversification of products; there is a possibility of having **diverse product in the market**. There will be ample choice for the consumers and the possibility of preventing conflict. There will be an assumption that trading countries will not go to war.

What is free trade?- Arguments for and against

- ▶ **Mechanism of product disposal;** there are some countries who produce more than they can consume. So, they need a market to sustain their product.
- ▶ **Equitable development;** when we have free trade, it means that countries can produce and export their products and then, by selling their products, they can achieve economic growth, economic development at the later ages and somewhere it brought equitable development among countries.

Generally, the basic argument favouring free trade area is what we call efficiency gain.

What is free trade?- Arguments for and against

- ▶ The argument is that free trade **creates conditions that would reward efficient producers.**
- ▶ So, **when we eliminate all trade barriers**, then, competent producers will compete with each other in terms of the quality of the product and services they provide.
- ▶ However, there are also **arguments against free trade**
- ▶ Thus, from the point of view of a single country **there may be practical advantages in trade restriction**, particularly if the country is the main buyer or seller of a commodity.
- ▶ **Race to the bottom:** **low wage** competition+ breaching **environmental rules**

What is free trade?- Arguments for and against

- ▶ Because, **products that are produced using cheap labor** can be **sold at a lesser price** and then they would have artificially an upper hand in competition compared to products that are produced in countries where we have a higher wage
- ▶ It means that there is a potential for competition low wage in those countries that have already a better wage: not just in terms of the wage actually but also in terms of standard of labor.
- ▶ **when we export products that are produced using cheap labor and low environmental rule adherences**, to third world country market and compare it to alike products which are produced in countries that adhered to the environmental regulations and labor standards , these countries would have a competitive advantage for the obvious reason that consumers would tend to choose that product because of the **low price** of that product.

What is free trade?- Arguments for and against

- ▶ **National security:** Certain domestic industries are considered as essential for the security of the states.
- ▶ Indeed, the term national security is to be determined or to be defined by the individual state- it depends
- ▶ From the point of view of those advocates of free trade, this could be one of the simplest things and hence, they advocate for liberalizing that sector or making the sector open to competition.
- ▶ From the importing countries perspective, however, this is an issue of national security and they want to protect the sector from foreign competition.
- ▶ **Democratic argument:** question of individual traders participation in the rule making procedures.

What is free trade?- Arguments for and against

- ▶ **Traders do not have direct participation** in the making of those international trade policies and thus , they are saying that the trade rule dissociates the voters from trade policy.
- ▶ The **instruments** that are made for the purpose of liberalizing trade are **not embraced by the voters**.
- ▶ It is something that is **given by those states** on individuals or others. So, what we have simply is top to bottom, while individuals are going to be ultimately affected by the policies.
- ▶ **Loss of revenue:** When we say **liberalization** of trade, we are saying that **tariffs should be eliminated**.
- ▶ But when we look into the source of revenue of many developing countries, **one of the major sources of revenue is tariff**.
- ▶ So, it has an impact in terms of the amount of revenue that developing countries would have at the end of the day

What is free trade?- Arguments for and against

- ▶ **Infant Industry protections:** There could be some infant investors with industries **which may not be able to withstand the competition** and industries that states consider at their infancy stage and want to protect from falling to competition
- ▶ As a result, **protectionism approach** might be implemented.
- ▶ **Protectionism** refers to government **policies** that **restrict international trade to help domestic industries.**
- ▶ Protectionist policies are usually implemented with the goal **to improve economic activity** within a domestic economy but can also be implemented **for safety or quality** concerns.

What is free trade?- Arguments for and against

- ▶ Protectionist policies are typically **focused around imports** but may also involve other aspects of international trade such as **product standards** and **government subsidies**.
- ▶ The merits of protectionism are the subject of fierce debate.
- ▶ **Critics** argue that over the long term, protectionism often **hurts the people and entities** as it is intended to protect by slowing economic growth and increasing price inflation, making free trade a better alternative.
- ▶ **Proponents** of protectionism argue that the policies can help to create domestic jobs, increase gross domestic product production, and make a domestic economy more competitive globally.

What is free trade?- Arguments for and against

- ▶ **Tools of protectionist policy / trade barriers**
- ▶ **Tariffs**: import tariffs are **one of the top tools** a government uses when seeking to enact protectionist policies.
- ▶ Import tariffs are **charged to the importing country** and **documented at government customs**
- ▶ **Raise the price of imports** for a country.
- ▶ There are **three main import tariff concepts** that can be theorized for protective measures
- ▶ **Scientific tariffs** are import tariffs imposed on an item **by item basis**, raising the price of goods for the importer and passing on higher prices to the end buyer.
- ▶ **Peril point import tariffs** are focused **on a specific industry**. These tariffs involve the calculation of levels at which import tariff decreases or increases would cause significant harm to an industry overall, potentially leading to jeopardy of closure due to an inability to compete.

What is free trade?- Arguments for and against

- ▶ **Retaliatory tariffs** are tariffs enacted primarily as a response to excessive duties being charged by trading partners.
- ▶ **Import Quotas**: are non-tariff barriers to trade that are put in place to limit the number of products that can be imported over a set period of time.
- ▶ The purpose of quotas is to limit the supply of specified products provided by an exporter to an importer.
- ▶ This is typically a less drastic action which has a marginal effect on prices and leads to higher demand for domestic businesses to cover the shortfall.
- ▶ Quotas may also be put in place to prevent dumping, which occurs when foreign producers export products at prices lower than production costs.
- ▶ An **embargo**, in which the importation of designated products is completely prohibited, is the most severe type of quota.

What is free trade?- Arguments for and against

- ▶ **Product Standards**: **product safety** and **high volumes of low quality products** or materials are typically top concerns when enacting product standards.
- ▶ Product standard protectionism can be a barrier that limits imports **based on a country's internal controls**.
- ▶ **Some countries may have lower regulatory standards** in the areas of food preparation, intellectual property enforcement, or materials production.
- ▶ This can **lead to a product standard requirement** or a **blockage of certain imports** due to regulatory enforcement.
- ▶ Overall, restricting imports through the implementation of product standards can often lead to a higher volume of product production domestically.

What is free trade?- Arguments for and against

- ▶ **Government Subsidies:** Government subsidies can come in various forms.
- ▶ Generally they may be **direct or indirect**.
- ▶ **Direct subsidies** provide businesses with cash payments.
- ▶ **Indirect subsidies** come in the form of special savings such as interest free loans and tax breaks.
- ▶ When exploring subsidies, government officials may choose to provide direct or indirect subsidies **in the areas of production, employment, tax, property, and more**.
- ▶ When seeking **to boost a country's balance of trade**, a country might also choose to offer subsidies to businesses **for exports**.
- ▶ Export subsidies provide an incentive **for domestic businesses to expand globally** by increasing their exports internationally.

What is free trade?- Arguments for and against

- ▶ **So**, are you in support of free trade/liberalization or protectionism???
- ▶ **The reality**— Free trade is the principle in the today's political economic order with exceptions for protection.
- ▶ The international trading system/order favours free trade and devised in a way aimed at freeing barriers for trade.
- ▶ International trade law focuses on enhancing free trade

International Trade Law- concerns and focus

▶ **Concerns:**

- ▶ Trade relations **across borders** –market access to trade
- ▶ Domestic trade legislation at the **crossing point of borders**
- ▶ **Domestic legislation** having bearing on international trade

▶ **Problems in Focus**

- ▶ Quantitative restrictions
- ▶ Tariffs
- ▶ Non-tariff barriers (e.g. state trading, customs procedures)
- ▶ Unfair trade practices (e.g. subsidies)
- ▶ Trade related measures (e.g. intellectual property rights, investment protection)
- ▶ Discriminatory practices

International Trade Law- sources

- ▶ **International Mercantile Customs and Usages:** a whole of **unwritten rules generated from the acts/behaviours of merchants** and were **considered as ‘the law’** by them.
- ▶ **Treaties:** Treaties are **dominant** source of international trade law.
- ▶ There are different means of the classification of treaties.
- ▶ International trade treaties would be bilateral agreements or multilateral agreements, including global and regional levels.
- ▶ At the **global level**, good examples of international trade and business treaties include WTO agreements

International Trade Law- sources

- ▶ Within the framework of the WTO agreements, there are ‘**plurilateral**’ trade agreements.
- ▶ These are agreements voluntarily concluded by some WTO members, thus came into effect for these members only.
- ▶ Plurilateral agreements are not binding on other WTO members who do not conclude them.
- ▶ **International Cases:** **WTO cases** and **decisions/judgments passed by** international jurisdictions, such as **international courts**, and **international arbitrations**, are very important in the legal source system.
- ▶ **Other Sources:** **General principles** of international law, **teachings of the most highly qualified publicist**, **soft laws**

International Trade Law- sources

- ▶ **‘Soft law’**- refers to rules which are **not legally binding**, but which in practice will normally be **adhered to by those who subscribe to them**. Examples include, most Resolutions and Declarations of United Nations General Assembly, and Model Rules
- ▶ **Domestic Law**: legislations, cases, customs , domestic principles
- ▶ Domestic law is very important in international legal practice.
- ▶ In reality, **the understanding and application of laws** of other countries are always a **‘nightmare’** for both international traders and lawyers.

International Economic Institutions

Type:

- ▶ Those **predominantly with jurisdictions on economic matters** - the Bretton Woods Institutions (IMF, WTO, WB Group)
- ▶ Those involved in **the economic field along with other matters** -the organizations in the UN system

Modes of influence

- ▶ By setting basic international **constitutional frameworks** in their respective areas: the Bretton Woods Institutions
 - international agreements, practices that grow to customary international law, harmonization that grows to general principles of law, soft law, internal administrative rules, etc.
- ▶ By playing **direct legislative function in domestic legislation**: the IMF conditionality

International Economic Institutions

Common Problems

- ▶ Lack of coordination
- ▶ Absence of narrow specialist approach as international economic relations become global and diverse
- ▶ Undemocratic decision making

The Bretton Woods System

- ▶ Immediately after the end of the 1st world war, countries were adopting **inward economic policies** and they were imposing **different kinds of barriers on trade**.
- ▶ The economic policies that these countries were adopting immediately after the end of the WWI were one of **protectionist**.
- ▶ So, the impact of those inward looking and protectionist kind of economic policies **was one of the contributing factors for the early 1930's great economic depression**.
- ▶ That was, indeed, **one of the worst economic depression that the world had witnessed so far**.
- ▶ **Many economists** stated that **one of the factors** for this great economic depression of 1930's was the protectionist economic policies of states which were dominant in terms of international trade.

The Bretton Woods System

- ▶ Then, **at the end of 1930's and at the beginning of 1940's** another war broke out which was the WWII(1939-1945).
- ▶ They started to realize that once this one is over, countries would start to have protectionist kind of economic policies.
- ▶ **Learning from the aftermath of the WWII**, those economic factors backed then, the US and certain European countries have pushed for having a policy or to establish an institution which will oversee that countries would not resort to adopting protectionist economic policies
- ▶ Hence, **they avoid the occurrence of the second great economic depression** of the world.

The Bretton Woods System

- ▶ In 1945, there was a conference in which those major **economists** of the world back then and major countries like the **US** were advocating for forming a **kind of a regulatory body having an institution** which would oversee that countries will not resort to protectionist policies.
- ▶ At the conference in **Bretton Woods, New Hampshire**, 44 Allied countries met under the intellectual leadership of **Harry Dexter White** (a senior US Treasury official) and **John Maynard Keynes**.
- ▶ The idea of forming this institution was **to look at the aspects of trading of countries** among themselves.

The Bretton Woods System

- ▶ Indeed, while trading finance become the major issue.
- ▶ So, for the case of financing, there was a need to have two separate international organizations, the International monetary fund (IMF) and International Bank for Reconstruction and development (IBRD), were established to that end.
- ▶ The IMF would look into the financial policies of the states and make up a certain fund in the form of lending for countries so that their trading activities would sustain or continue.
- ▶ IBRD was primarily established for the purpose of reconstructing different bureaus annihilated at the course of the first and Second World War.

The Bretton Woods System

- ▶ It generally aimed at **reconstructing Europe**.
- ▶ Indeed, at the later periods, **in 1970's**, it was broadened to **make accessible funds for developing countries** for the simple reason that since Europe has already been reconstructed, there was no need to limit the reaches of this organization only to the reconstruction of Europe.
- ▶ The treaty which establishes these two organizations obtains sufficient ratification of the signing countries and hence, **in 1945, IMF and IBRD were established**.
- ▶ But, **the charter of International Trade Organization (ITO)** was being negotiated in Havana Cuba and the charter was named after the place it was conducted: **The Havana Charter**.
- ▶ This Havana charter tried to establish international trade organization- But was not established until 1995.
- ▶ It was the **Bretton woods agreement/ the Washington consensus** that give birth to IMF, WB and later WTO.

The International Monetary Fund(IMF)

- ▶ The IMF's Articles of Agreement was signed by 29 member countries in December 1945 and **began operations on March 1, 1947.**
- ▶ The Articles of Agreement was amended afterwards and the **last version is the 2016.**
- ▶ IMF is **a UN specialized agency-** its purpose is to **promote international monetary cooperation** to facilitate the expansion of international trade.
- ▶ IMF tries to avoid **restrictive exchange practices** and the **competitive exchange depreciation**, and **maintain foreign exchange stability**

The International Monetary Fund(IMF)

- ▶ IMF's main function is to **purchase** and **sell the member countries currencies**.
- ▶ **If there is scarcity**, IMF tries to increase its supply **by Purchase the scarce currency by gold, Borrow the scarce currency** from those countries who has surplus amount, **permit the debtor countries to impose restrictions** on the imports of creditor country.
- ▶ If a **country faced adverse balance of payment**, the IMF provide loan.
- ▶ For this purpose the IMF undertake:
 - **Surveillance**: Gathering the data and gives advices/ warning in making policies of the country.
 - **Technical Assistant**: Strengthening the human skills and institutional skills of the country.
 - **Financial Assistant**: Lending to countries to support reforms

How the IMF influence the world Economy?

- ▶ **Membership Part II (1&2) of the agreement**
- ▶ Open to all independent nations
- ▶ 190 members- Ethiopia
- ▶ **Two types of Membership**
 - **Original membership**: All those countries whose representatives took part in Bretton Woods conference and agreed to be the members prior to 31st December,1945.
 - **Ordinary membership**: All those who became its members subsequently. To become a member, a country must apply and then be accepted by a majority of the existing members.
- IMF has the authority to suspend any member and similarly every member is free to resign.

How the IMF influence the world Economy?

▶ **Obligations of members** – Part II, IV & VIII

- Adhere the code of conduct in the IMF Articles of Agreement
- Pay a quota subscription
- Refrain from restrictions and discriminations on exchange of foreign currency
- Strive for openness in economic policies affecting other countries.
- Furnish information on economic and financial policies

➤ **Loan procedures and preconditions**

- IMF influence the global economy through its loan
- It initially focused on Europe but since the 1970s its focus was to the less-developed economies.

How the IMF influence the world Economy?

- ▶ Like the WB, IMF usually impose **pre-conditions to make loan**;
 - Commitment to implement corrective measures, improve external payment problems and timely repay.
 - Undertake Structural Adjustment Programs (**SAPs**)- Detailed instructions on what countries have to do based on a strategy called **neoliberalism/ Washington Consensus**.
 - The strategy is geared toward **promoting free markets**, including:
 - **Privatization**- the selling off of government enterprises
 - **Deregulation**- removing rules that restrict companies
 - **Trade liberalization**- opening local markets to foreign goods- removing barriers to exports/ imports
 - **Shrinking the role of government**, reducing taxes, and cutting back on publicly provided services.

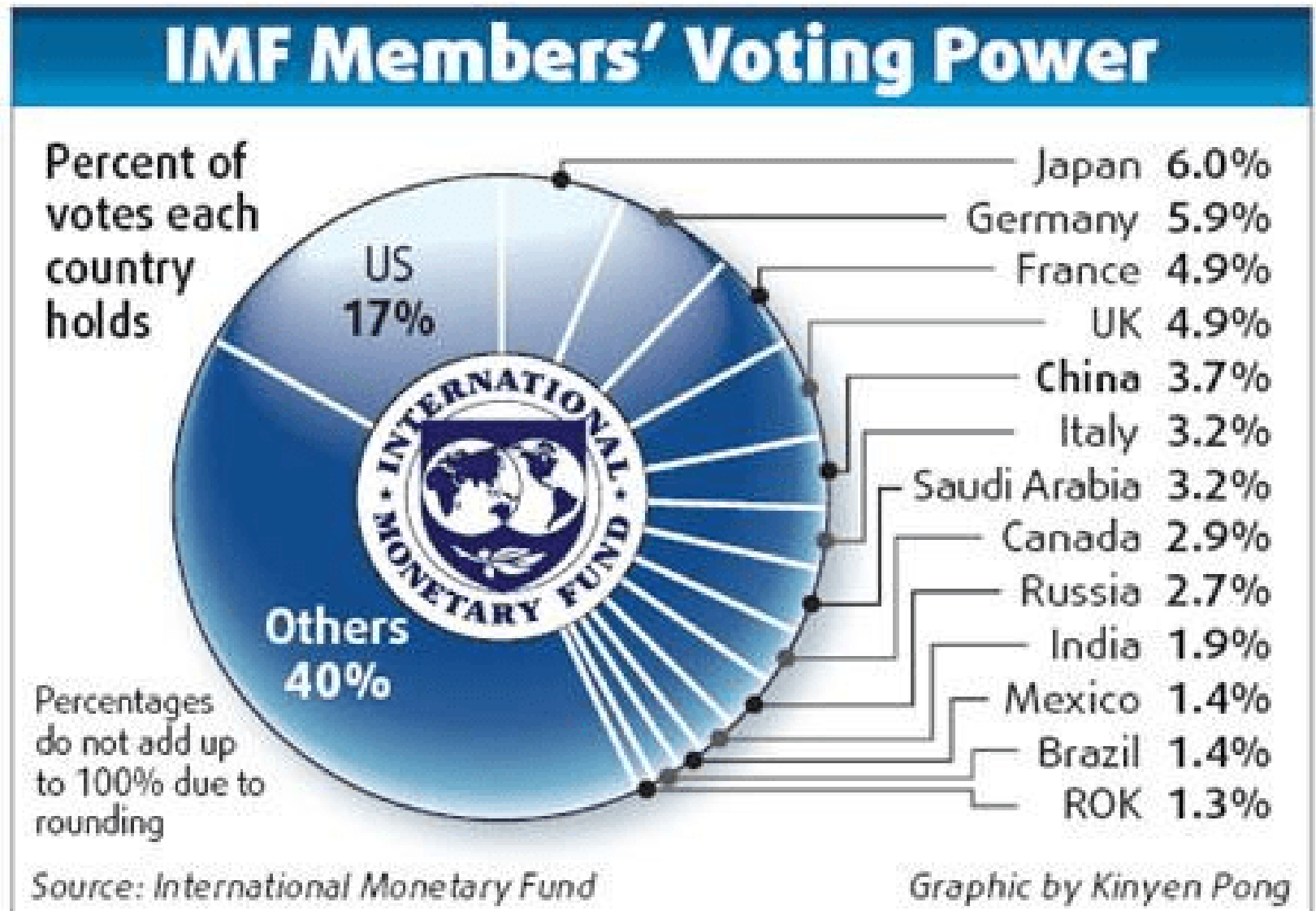
How the IMF influence the world Economy?

- ▶ It has a **special arrangement for low-income countries**:
 - **Concessional lending**- Low-interest loans under the Poverty Reduction and Growth Trust (PRGT)
 - **Debt relief**: under the Heavily Indebted Poor Countries (HIPC) Initiative and the Catastrophe Containment and Relief (CCR) Trust
- **Quotas and fixation**
- ▶ It's the **main source of IMF's fund**.
- ▶ When a country joins IMF, it is assigned a quota which determines its maximum contribution based on the country's relative size in the world economy
- ▶ **The amount of quota subscription** determines how large a vote a member will have in IMF deliberations and how much foreign exchange it may withdraw/ borrow from the fund

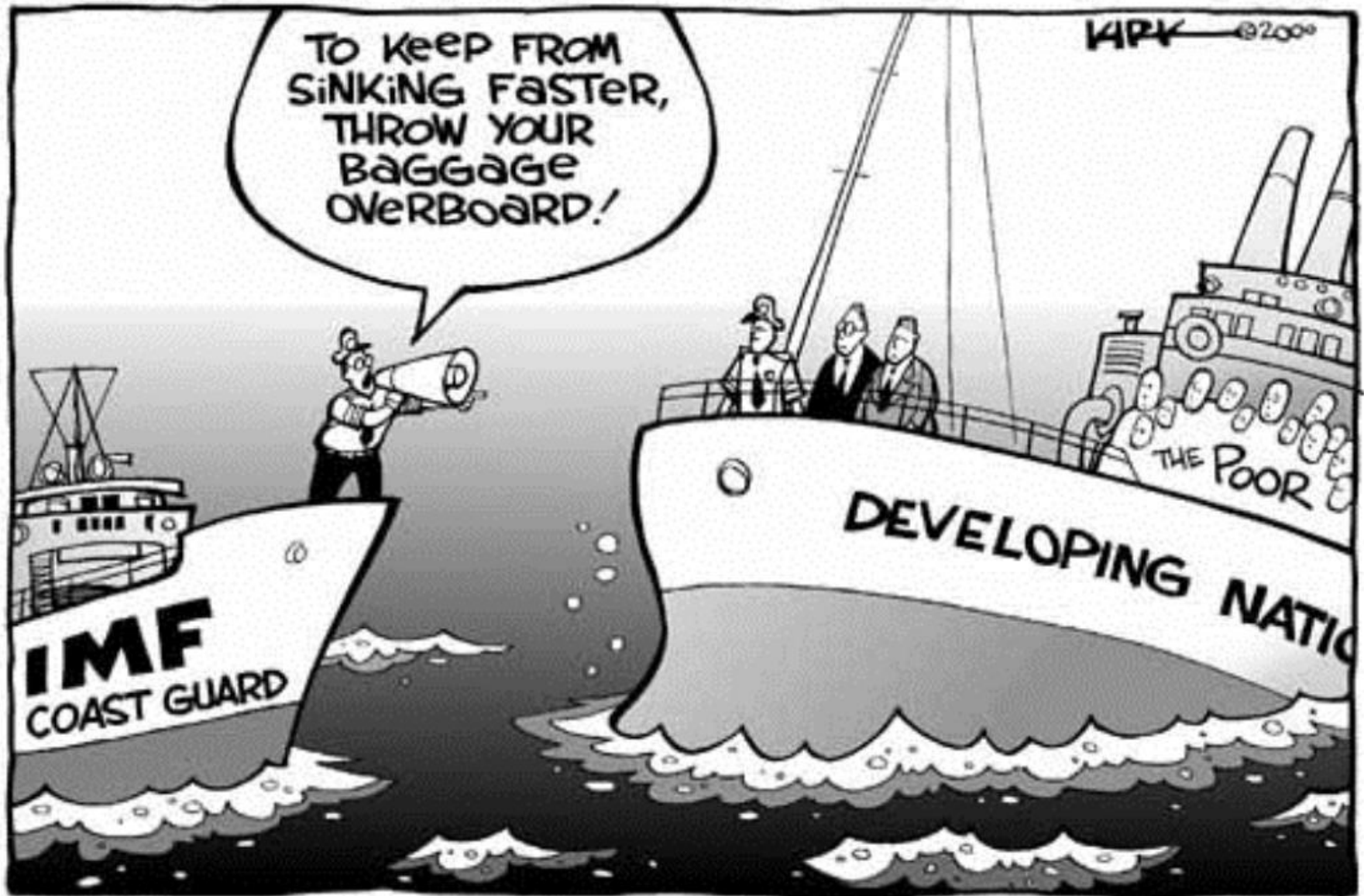
Remark on the IMF System

- ▶ The IMF played key role in bringing **international monetary cooperation, stability in foreign exchange rates** important for international trade, **reduce the disequilibrium in the balance of payments** and offering **special aids or loans to member countries** in solving their economic problem.
- ▶ However, its **criticised for**:
 - ▶ Fixed and rigid policies for all (e.g. Policies of privatization)
 - ▶ Discriminating treatment (quota based voting power)
 - ▶ Exacerbate poverty and economic problems (Loans with high interest rates increase Poverty and Unemployment)
 - ▶ Hinder social security and social development as SAPs promote **making exports cheaper, privatize national asset, cut down wages of employees** and **cut social development budgets** like education, health, food and transportation budgets etc.
 - ▶ Disregard national sovereignty (influence over key economic issues).
 - ▶ Its also blamed for promoting gender discrimination, violation of labour rights, environmental degradation

Remark on the IMF System



Remark on the IMF



STRUCTURAL ADJUSTMENT

The World Bank

- ▶ The world's **first multilateral development bank**.
- ▶ The world bank is an internationally supported bank that was created (1944) to **rebuild a war-torn Europe** (as part of the **Marshall Plan**, the USA program of financial assistance that helped to rebuild European nations) and later to provide **financial** and **technical assistance** mainly to developing countries for development programs (e.g. bridges, roads, schools) and poverty reduction.
- ▶ **It focuses on MGDs based on Five key factors:** Build capacity, Infrastructure creation, Development of Financial Systems, Combating corruption and Research, Consultancy and Training.
- ▶ Its Headquarter is in Washington and offices in more than 100 country.

The World Bank

- ▶ The World Bank is not truly a bank rather member of the Group that associates 5 unique and cooperative institutional organizations/ agencies, where governments can choose which of these agencies they sign up to individually.
- ▶ It influence global economy through its agencies and functions
- ▶ The International Bank for Reconstruction and Development (**IBRD**) (est. 1944): 181 members
- ▶ The central institution that finance the reconstruction of war affected Europe and later development of impoverished nations- Loan and technical assistance for development projects.

The World Bank

- ▶ The International Finance Corporation (IFC) (est. 1956) **174 members**: **Finances** (through loan and equity finance) **private sector investments** and **provides technical assistance** for environmentally and socially responsible economic development and poverty reduction.
- ▶ The International Development Association (IDA) (est. 1960) **161 members**: Provides **long-term, interest-free loans** to **poor countries** with annual per capita incomes of less \$800 and that cannot qualify for loans at market-based interest rates.
- ▶ The International Centre for Settlement of Investment Disputes (ICSID) (est. 1966) **131 members**: Provides facilities for the settlement of disputes between governments and foreign investors and there by promote FI.
- ▶ The Multilateral Investment Guarantee Agency (MIGA) (est. 1988) **152 members**: Insuring investors against loss from non-commercial risks (eg. war and civil disturbances) there by encourage FI.
- ▶ **Ethiopia** is a member for all of the agencies except **ICSID**

The World Bank

- ▶ With these agencies, WB works both with the government (loans, grants, technical assistant) and MNCs (guarantee, dispute settlement..).
- ▶ It grants long term loans (5-20 yrs) to a member country with duly submitted project and to private investors belonging to member countries.
- ▶ The quantities of loans, interest rate and terms and conditions are determined by the Bank itself.
- ▶ Meeting conditions (mainly for project feasibility, productive use (benefit the poorest people) and repayment) determined by WB experts and with periodic reports both from the borrower and its own observers on the use of loan and project progress.
- ▶ In the early years loans were granted chiefly to European countries but since the 1960s most loans have been granted to developing countries in Africa, Asia, and Latin America in specific sectors such as health, family-planning, education, housing, small-scale enterprises, agriculture, energy, environment.

The World Bank

- ▶ However, **lending is controversial and criticized to be ineffective** because countries (with BoP gaps and debt default) obtain loans and devalued their currencies, which caused **hyperinflation**. To combat this, the Bank required austerity measures i.e. cut back on spending and support its currency, which usually caused a recession, making it difficult to repay the Bank's loans.
- ▶ World Bank provides various **technical services** to the member countries.
 - It **collects data** from countries with major indicator, analyse it and publish annual World Development Reports.
 - **Advisory Services**
 - **Capacity building**
- ▶ It **provides Grants for specific purposes** such as relieve the debt burden of heavily indebted poor countries, Improve sanitation and water supplies, vaccination and immunisation programs, civil societies, climate change and environment etc.

The World Bank

▶ Shareholding

▶ Members of the World Bank must buy shares of the capital stock of the bank based on the strength of the national economy

- Currently, the US is the largest shareholder, followed by Jn, Gr, UK & Fr.
- Members pay the share amount in the following ways:
 - 2% of allotted share are repaid in gold, US dollar or Special Drawing Rights (SDR).
 - Every member country is free to repay 18% of its capital share in its own currency.
 - The remaining 80% share deposited by the member country only on demand by the World Bank.

▶ The bank also make profit from

- Sale of interest-bearing bonds and notes in capital markets of the world

Remark on the WB

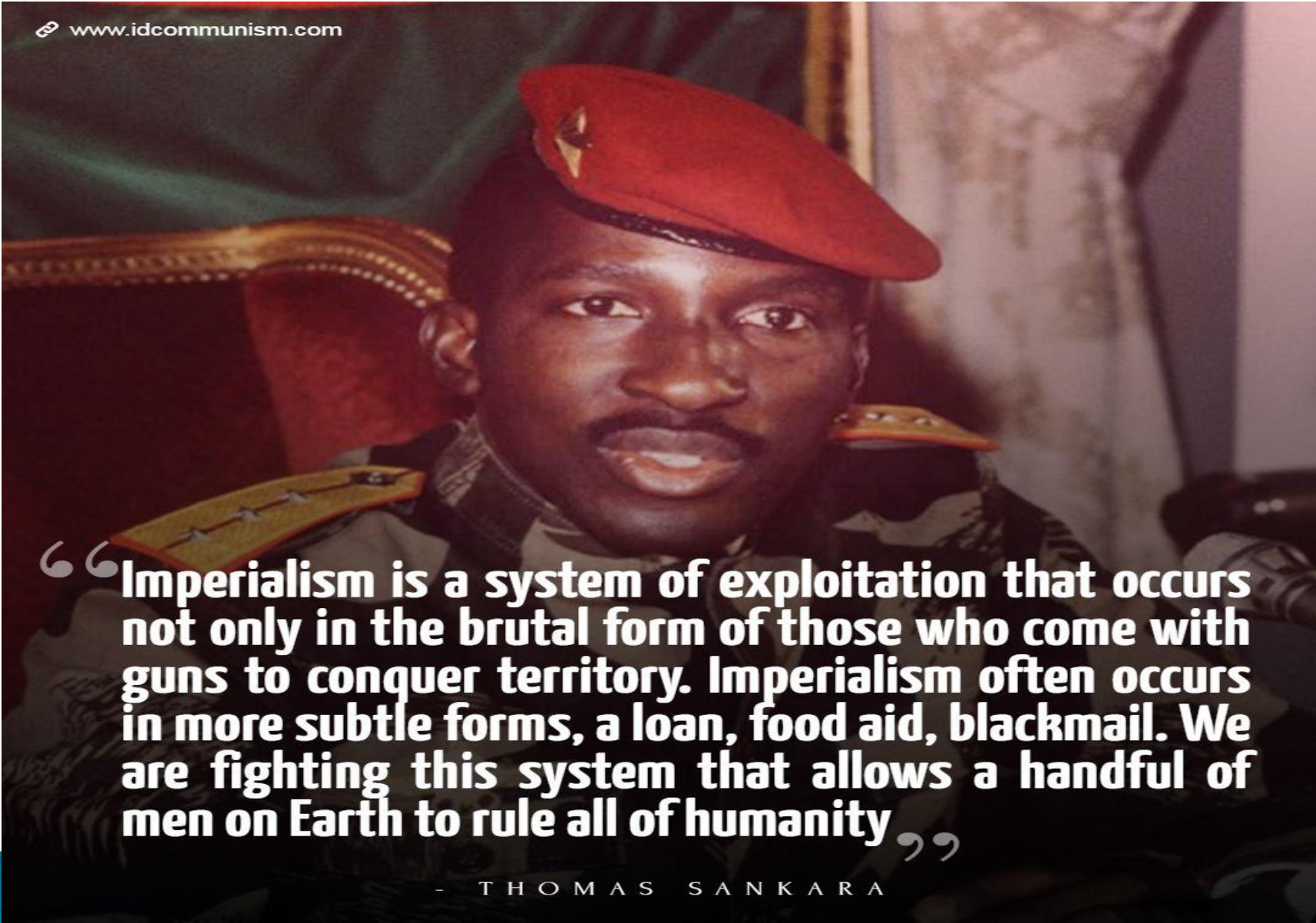
- ▶ The WB is proved to be effective in **financing projects in priority areas** like poverty, Education, biodiversity, health, clean water, electricity, Transport, conflict management etc. projects.
- ▶ Its **support for international investment** (loan, guarantee, dispute settlement) and **trade** (loan during BoP and default debt problems) is immense.
- ▶ However, Its criticised for **unduly supporting western business interests- donor driven imperialism, Lack transparency to external publics, decision-making structure is undemocratic** etc.

Under its current form, that is imperialism-controlled, debt is a cleverly managed re-conquest of Africa, aiming at subjugating its growth and development through foreign rules.

Thus, each one of us becomes the financial slave, which is to say a true slave

Thomas Sankara



A portrait of Thomas Sankara, a Black man with a mustache, wearing a red beret and a military uniform with epaulettes. He is seated in a chair with a gold-colored frame. The background is slightly blurred, showing a wall with a map or poster.

“Imperialism is a system of exploitation that occurs not only in the brutal form of those who come with guns to conquer territory. Imperialism often occurs in more subtle forms, a loan, food aid, blackmail. We are fighting this system that allows a handful of men on Earth to rule all of humanity”

- THOMAS SANKARA

The WTO– Origin

- ▶ The ITO was **initially envisaged, along with the IMF and WB**, as one of the key pillars of post- WWII reconstruction and economic development.
- ▶ In 1945, **the US (President Truman)** in collaboration with the **allied powers** propose negotiations to conclude a multilateral agreement for the reciprocal reduction of tariffs on trade in goods with a view **to complete the Bretton Woods structure of international economic institutions**.
- ▶ **Four preliminary conferences** on trade were convened under UN auspices in London, New York, Geneva and Havana respectively.
- ▶ **The Geneva Conference** produced the General Agreement on Tariffs and Trade (**GATT**).
- ▶ On the other hand, The **Havana conference** was supposed to draft **a charter** for a regulatory organization, the ITO.

The WTO– Origin

- ▶ In 1946 the UN Economic and Social Committee adopted a resolution and direct the committee to draft a charter for an ITO.
 - In parallel, the negotiations on the General Agreement on Tariffs and Trade (GATT) in Geneva advanced well, and by October 1947 an agreement was reached.
- ▶ The Preparatory Committee finalized the draft in 1947 and in 1948, the UN Conference on Trade and Employment concluded a draft charter for the ITO, known as the Havana Charter, which had extensive rules governing trade, investment, services, business and employment practices and signed by 56 countries.
- ▶ The USA has chaired and exerted a considerable political pressure on this conference in the way that would free up trade in the specific interests of its large exporting corporations.

The WTO– Origin

- ▶ Nevertheless **ratification** in some national legislatures including **US** proved impossible with the cold war influence and the resurgence of economic nationalism.
- ▶ Paradoxically, the most **serious opposition was in the US Congress**, one of the driving forces.
- ▶ The process faced an opposition from the USA congress since **the US State Department proposal for the ITO was heavily amended in the UN**.
- ▶ The greatest problem for Congress lay **in granting authority** to the proposed ITO, to make agreements, or impose sanctions, that might threaten US national interests.

The WTO– Origin

- ▶ The USA was specifically **opposed to an international organization controlled by UN-type international democracy**, with each nation-state having one vote, at a time when the USA considered itself to be **far more than one country** in terms of economic power and political might.
- ▶ As a result, **legislation approving the ITO agreement reached in Havana never emerged from the US Congress.**
- ▶ Since the **GATT lacked an organizational structure**, **the Interim Commission** for the International Trade Organization **within the UN** served as an administrative body regulating the agreement and subsequently coordinated eight rounds of multilateral trade negotiations over the **next half century**.

The WTO– Origin

- ▶ we do not have an organization which oversees the **implementation** of the substantive principles and obligations of **GATT**. But the GATT covers the secretariat.
- ▶ The **secretariat was established** on the basis of the **GATT agreement**.
- ▶ It is normally supposed to **facilitate the forum** for the member countries and help them **to negotiate** with each other.
- ▶ This secretariat is also called the interim commission
- ▶ This interim commission **gradually involved into a de facto organization**.
- ▶ It starts to **undertake all the obligations** that the international trade organization would have undertaken if it had been established.
- ▶ So, it is **not a full-fledged** institution: we do not have any treaty which establishes the institutional framework for the same

The WTO– Origin

- ▶ Until the establishment of World Trade Organization (WTO) in 1995, this interim commission **was functioning as a full-fledged institution** despite the fact that it was not properly created as it should have been, too.
- ▶ To handle problems relating to their trade relations, the **GATT 1947** became **the only multilateral instrument governing international trade** from 1948-1995 birth of WTO.
- ▶ Although it was conceived as an agreement, the system **evolved for 47 years** with about **130 countries** and pragmatically grew into a **de facto global trade organization**.

The WTO– Origin

- ▶ In particular **with regard to the reduction of tariffs**, the GATT was very successful but it was **less successful** with respect to the reduction of non-tariff barriers, which is **more complex** and require a **more “sophisticated”** institutional framework.
- ▶ The **GATT** was **only concerned with trade in goods** but with the increasing importance of services in the global economy, trade in service demand a GATT-like disciplines.
- ▶ Through various negotiating rounds, the **GATT was extended or modified** by numerous supplementary codes and arrangements, interpretations, waivers, reports by dispute-settlement panels, and decisions of its council.

GATT TRADE ROUNDS

Year	Place / Name	Subjects Covered	Countries
1947	Geneva	Tariffs	23
1949	Annecy	Tariffs	13
1951	Torquay	Tariffs	38
1956	Geneva	Tariffs	26
1960 – 1961	Dillon Round	Tariffs	26
1964 – 1967	Kennedy Round	Tariffs and Anti-Dumping Measures	62
1973 – 1979	Tokyo Round	Tariffs, Non-tariff Measures, Framework Agreements	102
1986 – 1994	Uruguay Round	Tariffs, Non-tariff Measures, Rules, Services, Intellectual Property, Dispute Settlement, Textiles, Agriculture, Creation of WTO	123



WTO Doha Round

- Unfinished business from Uruguay Round
- The Doha Development Round 2001
 - Seattle, Doha, Cancun, Hong Kong, Geneva
- Covers agriculture, manufactures, services, rules
- Negotiations to date – role of developing countries

The Uruguay Round

- ▶ The Uruguay round of 1986 **was an appropriate forum to set ambitious agenda** for negotiations for the first time.
- ▶ Amid the negotiation, in 1990, **Canada, the European Community and Mexico** propose the establishment of a new ITO.
 - Although many developing countries and the USA were hesitant first (relying on UNCTAD), they became convinced later.
 - In April 1994, **after more than 7 years negotiation** the Agreement Establishing the WTO was signed in **Marrakesh**, Morocco and enter into force on **1 January 1995**.
- ▶ A major **revision was made to GATT 1947**, which forms now WTO's principal rule-book for trade in goods and services, aspects of IPRs, dispute settlement and trade policy reviews.

The Uruguay Round

- ▶ Since the 1980s the need to further liberalize international trade in services, very controversial issues of trade in agricultural products and trade in textiles, the improvement of the institutional mechanisms of the GATT and its dispute settlement system was grown to an agenda.
- ▶ In September 1986, trade ministers of the GATT 1947 members met in Punta del Este, Uruguay;
- ▶ after some days of arguments, they agreed to initiate the Eighth Round of Multilateral Trade Negotiations, the so-called Uruguay Round, no later than 31 October 1986.
- ▶ The Punta del Este Declaration also stated that the ‘launching, the conduct and implementation of the outcome of the negotiation shall be treated as part of a single undertaking’.

The Uruguay Round

- ▶ The Uruguay round of 1986 was an **appropriate forum to set the above ambitious agenda for negotiations.**
- ▶ The Declaration identified some **fifteen subjects** for negotiation, covering, ‘inter alia’, trade in goods (agricultural products and textiles), NTBs and, most notably - for the **first time in history, trade in services.**
- ▶ **Most of the negotiations ended in Geneva** in December 1993 (although some market access talks remained) and the **deal was signed** on 15 April 1994 at the Ministerial Meeting in Marrakesh, Morocco- charter of the organization.
- ▶ This agreement is the **umbrella** that covers all parts of the more detailed and technical texts (including the schedules of commitments).

The Uruguay Round

- ▶ The Marrakesh agreement consists of a short, **16-article** long basic agreement **establishing the WTO** and **numerous agreements** and **understandings** included in the annexes to this agreement.
- ▶ **These agreements** together with the different ministerial decisions and declarations adopted by the trade negotiations committee forms part of the binding legal texts of WTO.
- ▶ **Its relation with the “GATT 1947”**
 - Article XVI:1, except as otherwise provided under this Agreement or the Multilateral Trade Agreements, **the decisions, procedures and customary practices of the GATT 1947** (and all changes prior to the Uruguay Round) **still guide the WTO** in many of its actions.

The Uruguay Round

► On the nature and **relationship** between the **WTO Agreement** and **its Annexes**:

- The agreements and associated legal instruments included in Annexes 1, 2 and 3 (referred as “Multilateral Trade Agreements”) are **integral parts of this Agreement** and are **binding on all members** (“single undertaking”). Article II: 2
- The agreements and associated legal instruments included in Annex 4 (referred as “Plurilateral Trade Agreements”) are independent agreements **binding only on the members that have accepted them**. They do not create either obligations or rights for Members that have not accepted them. Article II: 3
- In the event of a **conflict** between a provision of **this Agreement** and a provision of **any of the Multilateral Trade Agreements**, the provision of this Agreement shall prevail to the extent of the conflict. Article XVI:3

The Uruguay Round

- ▶ All of the agreements reached at the Uruguay Round are laid out in four annexes of the WTO Agreement.
- ▶ The first three annexes are mandatory (i.e., all members must accept them) while Annex 4 contains optional ‘plurilateral agreements.
- ▶ Annexes 2 and 3 are the ‘Dispute Settlement Understanding’ and the ‘Trade Policy Review’, respectively.
- ▶ Annex 1, the backbone of the world trading system, is then sub-divided into three parts that correspond to three major basic agreements, namely, goods (GATT 1994 and its related agreements and other texts), services (GATS and its annexes), and trade-related aspects of intellectual property rights (TRIPS).

Summary of Annexes

Agreement Establishing The WTO

ANNEX 1

ANNEX 1A: Multilateral Agreements on **Trade in Goods** (13 multilateral agreements)

1. General Agreement on Tariffs and Trade 1994 (GATT 1994)
2. Agreement on Agriculture
3. Agreement on the Application of Sanitary and Phytosanitary Measures
4. Agreement on Textiles and Clothing
5. Agreement on Technical Barriers to Trade
6. Agreement on Trade-Related Investment Measures
7. Agreement on Implementation of Article VI of the General Agreement on Tariffs and Trade 1994
8. Agreement on Implementation of Article VII of the General Agreement on Tariffs and Trade 1994
9. Agreement on Pre-shipment Inspection
10. Agreement on Rules of Origin
11. Agreement on Import Licensing Procedures
12. Agreement on Subsidies and Countervailing Measures
13. Agreement on Safeguards

ANNEX 1B: General Agreement on **Trade in Services** and Annexes (*the GATS*)

ANNEX 1C: Agreement on Trade-Related Aspects of **Intellectual Property Rights** (*the TRIPS Agreement*)

ANNEX 2: Understanding on Rules and Procedures Governing the **Settlement of Disputes**

ANNEX 3: **Trade Policy Review Mechanism**

ANNEX 4: **Plurilateral Trade Agreements**

1. Agreement on Trade in Civil Aircraft
2. Agreement on Government Procurement
3. International Dairy Agreement
4. International Bovine Meat Agreement

WTO as an International Organization

- ▶ The WTO has now become **the second most important international organization** in the world after the United Nations.
- ▶ **164** members- Ethiopia is not
- ▶ **Objectives:** The raison d'être and policy objectives of the WTO are set out in the **first two Preambular paragraphs** of the WTO Agreement.
- ▶ In short it has the following **four ultimate objectives**:
 - The increase in the standard of living;
 - the attainment of full employment;
 - the growth of real income and effective demand; and
 - the expansion of production of, and trade in, goods and services

WTO as an International Organization

▶ Functions:

- ▶ Article 2(1) of the WTO Agreement stipulates the **primary function** of the WTO as providing ‘the **common institutional framework** for the conduct of **trade relations** among its members in matters related to the agreements and associated legal instruments included in the annexes to [the] Agreement
- ▶ Article III: **five broader functions**
 - facilitate the implementation, administration and operation, and further the objectives, of the Agreements
 - provide the forum for negotiations among its members concerning their multilateral trade relations in matters dealt with under the agreements

WTO as an International Organization

- Administer the Understanding on Rules and Procedures Governing the Settlement of Disputes
- Administer the Trade Policy Review Mechanism
- Shall cooperate, as appropriate, with the **International Monetary Fund** and with the **International Bank for Reconstruction and Development** and its affiliated agencies.

▶ **Structure:**

- ▶ Headed by a **Ministerial Conference** composed of representatives of all the Members, which shall meet at least once every two years
- ▶ Below the ministerial conference, there is **General Council** composed of representatives of all the Members, which shall meet as appropriate; and conduct the functions of the ministerial conference in the intervals between meetings of the Ministerial Conference apart from the functions assigned to it by the WTO Agreement

WTO as an International Organization

- ▶ **The General Council** also meets as the Trade Policy Review Body (TPRB) and the Dispute Settlement Body (DSB).
- ▶ There are **Councils for** Trade in Goods, Trade in Services and Trade-Related Aspects of Intellectual Property Rights to oversee the functioning of the Multilateral Trade Agreements in Annex 1A, The General Agreement on Trade in Services (GATS) and the Agreement on Trade-Related Aspects of Intellectual Property Rights respectively.
- ▶ There are also numerous **specialized committees, working groups** and **working parties** deal with individual agreements and other areas, such as the environment, development, membership application and regional trade agreements established pursuant to article 4(7) of the WTO Agreement.

WTO as an International Organization

- ▶ Article 8 of the WTO agreement provides **for the establishment of the WTO secretariat**, headed by a director-general and a deputy director-general.
- ▶ The **WTO Secretariat's job** is largely to provide Members with technical and logistical support, including organizing meetings of governing bodies and preparing background documentation when requested by committees, working groups or negotiating groups.
- ▶ In the WTO decision making process particularly at meetings of the Ministerial Conference and the General Council **each member state has one vote**.
- ▶ However, the matter at issue **shall be decided by voting** where a decision cannot be arrived at by consensus.
- ▶ Accordingly, such a **vote has never been taken** and decisions are made by consensus

Basic Principles of the WTO Agreements

1. **Principles of Non-discriminations among member countries:** has two aspects
 - ▶ Non-discrimination **at the border**: called “**MFN** treatment”- members should treat no nation better than it treats its most favoured trading partner) e.g. **Equal tariffs on exports and imports-** (Article I)- **Horizontal**
 - ▶ Non-discrimination **behind the border**: called “**national treatment**,- the rule (e.g. On domestic taxes) should be applied evenly to domestic and imported goods. (Article III)-**Vertical**
2. **The Principle of market Access:** There would **not be any international trade** without access to the domestic markets of countries.

Basic Principles of the WTO Agreements

- ▶ Coming to the WTO law on market access, it **nowhere prohibits the use of tariff**.
- ▶ Countries **can use tariffs** as a means to protect their domestic produce as **opposed to the non-tariff barriers**.
- ▶ But the whole question on the use of tariffs is indicating to us the **maximum amount of tariff planned** to impose on a particular product.
- ▶ **You have to indicate** to the other members the maximum amount of tariff you want to apply on a particular product.
- ▶ When you bound your tariff, it means **you cannot increase beyond that amount**. So the applied rate can only be **equal to or less** than the bound rate.

Basic Principles of the WTO

Agreements

3. **Transparency:** Liberalizing trade and reducing conflicts over trade is easier when the actual policies are transparent to all by having been made public.

4. **Reciprocity.** Nations that remove barriers to imports can **expect other nations to reciprocate**. Reciprocity also applies to retaliation, where the aggrieved nation has the right to reciprocate/retaliate. During the GATT era, as an exception, developing nations benefited from the market opening of other nations due to the MFN provisions were not obliged to reduce their tariffs.

5. **Flexibility, or “safety valves”:** when countries are in an **irresistible domestic pressure**, the GATT allows some exceptions in which nations **can at impose trade barriers** but with various censures and requirements for compensation.

6. **Consensus decision-making.** most WTO decisions are by consensus. Like the other principles, this one has exceptions, but.

Basic Principles of the WTO Agreements

7. Principle of General Prohibition of Quantitative Restrictions:

- ▶ quantitative restrictions are considered to **have a greater protective effect than tariff measures** and are more likely to distort the free flow of trade.
- ▶ Hence, **GATT Article XI stipulates** that “No prohibitions or restrictions other than duties, taxes or other charges shall be instituted or maintained by any contracting party” and generally prohibits quantitative restrictions.

8. Principle regarding Tariffs as Legitimate Measures for the Protection of Domestic Industries:

- ▶ GATT accepts the imposition of tariffs **as the only method of trade control**, and attempts to **gradually reduce tariff rates** for individual items in tariff negotiations.

Basic Principles of the WTO Agreements

- ▶ Member countries make “**concessions**” (“bind” themselves to maximum rates) according to GATT Article XXVIII the imposition of tariffs beyond such **maximum rates** (“bound rates”) or the **unilateral raise** in bound rates is banned.
- ▶ In addition, **tariff rates are to be reduced** in negotiations “on a reciprocal and mutually advantageous basis” according to GATT Article XXVIII

Exceptions to the basic principles

- ▶ **General**
- ▶ Refer to: Articles XIV, and XXIV of GATT 1994
- ▶ The following are **not subject to the MFN obligation**:
 - Preferential arrangements that have existed for **historical reasons** (in relation to former **colonies** or between **neighbouring countries**)
 - Preferential arrangements for the benefit of **developing countries** (due to bilateral agreements between the developed and developing countries or unilateral measures of the developed countries) and preferential arrangements as between developing countries
 - Arrangements within customs unions, free-trade areas and similar arrangements

Exceptions to the basic principles

- ▶ **Specific**
- ▶ Refer to: Articles XI(2) and XX of GATT 1994
- ▶ A member may impose **quantitative restrictions to:**
 - **Protect its internal value system** (public morals, national treasures of artistic, historic or archaeological value)
 - **Ensure compliance to national regulations** not inconsistent with GATT 1994
 - **Preserve its tangible and intangible wealth and economic system** (e.g. to preserve exhaustible natural resources; human, animal or plant life or health, intellectual property; gold and silver; to ensure the marketing of commodities in international trade)

Exceptions to the basic principles

- ▶ So long as these restrictions are not:
 - Unjustifiably discriminatory
 - Disguised restrictions on international trade
 - Arbitrary
- ▶ A member **may impose import restrictions** on agricultural or fisheries products **to control the domestic market** in like products and to control the production of animal based domestic produce

General Agreement on Trade in Services (GATS)

- ▶ GATS is **the first and the only set of multilateral rules** governing international trade in services.
- ▶ **Negotiated in the Uruguay Round**, it was developed in response to the strong growth of the services economy and the greater potential for marketing services internationally.
- ▶ In this agreement banks, insurance firms, telecommunications companies, tour operators, hotel chains and transport companies looking to do business abroad can now **enjoy** the same principles **of freer and fairer trade** that originally only applied to trade in goods.

General Agreement on Trade in Services (GATS)

- ▶ WTO members have also made individual commitments under GATS stating which of their services sectors they are willing to open to foreign competition, and how open those markets are.
- ▶ It clearly provides for principles of MFN and transparency. Why not NT?
- ▶ It enumerates 155 service sectors and stipulates that a member country cannot maintain or introduce, in the service sectors for which it has made commitments, market access restriction measures and discriminatory measures that are severer than those on the commitment table.

Agreement on the Application of Sanitary and Phytosanitary (SPS) Measures

- ▶ This agreement establishes multilateral frameworks **for the planning, adoption and implementation of sanitary and phytosanitary measures** to prevent such measures from being used for arbitrary or unjustifiable discrimination or for **disguised restraint on international trade** and to minimize their adverse effects on trade (Standard and Conformity Assessment Systems).
- ▶ Article 20 of the GATT allows governments to act on trade in order **to protect human, animal, or plant life or health**, provided no discrimination is made and this is not used as disguised protectionism.
- ▶ The SPS measures **sets out the basic rules** on food safety and plant health standards.
- ▶ The agreement **allows countries to set** their own safety and health standards based on **science** and should **not arbitrarily or unjustifiably discriminate** between countries where identical or similar conditions prevail.

Agreement on Technical Barriers to Trade (TBT)

- ▶ Standards and conformity assessment systems, such as industrial standards and safety/environment regulations, may become trade barriers if they are excessive or abused.
- ▶ This agreement aims to prevent such systems from becoming unnecessary trade barriers by securing their transparency and harmonization with international standards (Standards and Conformity Assessment Systems).
- ▶ This agreement complements with SPS measures and attempts to ensure that regulations, standards, testing, and certification procedures do not create unnecessary obstacles to trade.

Agreement on Trade-Related Investment Measures (TRIMs)

- ▶ countries receiving foreign investment may take various measures, including **imposing requirements, conditions and restrictions** (investment measures) on investing corporations.
- ▶ However, **not all investment measures** but **Trade-Related Measures** are banned
- ▶ Those investment measures **inconsistent with the provisions of Article III** (principle of national treatment) and **Article XI** (**general elimination of quantitative restrictions**) which have direct adverse effects on trade in goods.
- ▶ Among other things, the agreement:
 - Stipulates that no member shall apply any **measure that discriminates against foreigners or foreign products**.
 - outlaws investment measures that lead to **restrictions in quantities** and measures requiring particular levels of **local procurement** (‘local content requirements’) by an enterprise.

Agreement on Implementation of Article VI the GATT 1994 (Anti-Dumping Agreement)

- ▶ This agreement aims **to tighten** and **codify disciplines** for calculating dumping margins and conducting dumping investigations, etc. in order to prevent anti-dumping measures **from being abused** or **misused** to protect domestic industries (Anti-Dumping Measures).
- ▶ When a company exports a product **at a price lower than the price it normally charges on its own home market**, the WTO “allows governments to act against dumping where there is genuine injury to the competing domestic industry.”
- ▶ According to this agreement **government has to show** that dumping has taken place, calculate the extent of dumping and show that the dumping is causing injury.

Agreement on Subsidies and Countervailing Measures

- ▶ This agreement aims to clarify definitions of subsidies, strengthen disciplines by subsidy type (extension of the range of prohibited subsidies, etc.), and to strengthen and clarify procedures for adopting countervailing tariffs.
- ▶ This agreement **disciplines the use of subsidies and regulates the actions countries can take to counter the effects of subsidies** by other countries.
- ▶ It can **launch its own investigations and ultimately charge extra duty** (known as ‘countervailing duty’) on subsidized imports that are found to be hurting domestic producers.
- ▶ **Category** of Subsidies included under SCM
 - **Prohibited Subsidies:** Those subsidies that **require recipients to meet certain export targets**, or to **use domestic goods** instead of imported goods.
 - **Actionable Subsidies:** Subsidy has an adverse effect on its interest such as :
 - Hurts domestic industry of importing country
 - Hurts rival exporters from another country when the two compete in third market
 - Hurt exporters’ trying to compete in the subsidized country’s domestic market.

Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS)

- ▶ The rules state **how** copyrights, patents, trademarks, geographical names used to identify products, industrial designs, integrated circuit layout-designs and undisclosed information such as trade secrets **should be protected** when trade is involved.
- ▶ It stipulates **MFNT** and **NT** for IPs.
- ▶ It requires **members to maintain high levels of IP protection** and to **administer a system of enforcement** of such rights.
- ▶ It **introduced intellectual property rules** in the multilateral trading system for the first time.
- ▶ TRIPS **lays down minimum standards** for the protection of IPRs as well as the **procedures and remedies** for their enforcement.
- ▶ It also establishes a **mechanism for consultations** and **surveillance** at the international level to ensure compliance with these standards by member countries at the national level.

Dispute Settlement in the WTO

▶ The mechanism

- Dispute settlement through **consultation**
- Dispute settlement by Dispute **Settlement Body** -made up of all member governments and **helped by**:
 - **Dispute Settlement Panel** -to be set up by the Dispute Settlement Body
 - **Appellate Body** -to be set up by the Dispute Settlement Body

▶ The steps

- Up to 60 days -Consultations, mediation, etc
- Up to 45 days -Panel set up and panelists appointed
- Up to 6 months -Final panel report to parties (3 months for perishable goods)
- Up to 3 weeks -Final panel report to WTO members
- Up to 60 days -Adoption of panel report by Dispute Settlement Body (if no rejection by consensus, if no appeal)

▶ If appealed:

- Up to 60-90 days -Appeals report
- Up to 30 days -Adoption of appeals report by Dispute Settlement Body (if no rejection by consensus)

▶ Then what?

- ▶ Losing “defendant” to bring its policy into line with the ruling or recommendations of the Dispute Settlement Body or face trade sanctions

The WTO System and developing countries

- ▶ Although developing countries form a **much bigger group numerically** under the WTO, **decision-making** is significantly **influenced by the developed** countries.
- ▶ Therefore, over the years, the **divide between the developed and developing countries** in the WTO has widened, leading to deadlocks in the process of multilateral negotiations.
- ▶ Over **¾ of WTO members** are **developing or least-developed** countries and **special provisions** for these members are included in all the WTO agreements.
 - Longer time periods for implementing agreements and commitments,
 - Measures to increase trading opportunities for these countries,
 - Provisions requiring all WTO members to safeguard the trade interests of developing countries, and
 - Technical assistance and training trade policy courses regional seminars

WTO Membership- Ethiopia

- ▶ The WTO rules governing accession process are provided under **Article XII** of the Marrakesh Agreement.
- ▶ It provides **very general conditions for the accession** process and is only three paragraphs' long Article which read as follows:
 1. **Any state or separate customs territory** possessing full autonomy in its conduct of its external commercial relations and of the other matters provided for in this Agreement and the Multilateral Trade Agreements may accede to this Agreement, **on the terms to be agreed between it and the WTO**. Such accession shall apply to this Agreement and the Multilateral Trade Agreements annexed thereto.
 2. **Decisions** on accession shall be taken **by the Ministerial Conference**. The Ministerial Conference shall approve the agreement on the terms of accession by **two-thirds majority** of the Members of the WTO;
 3. **Accession to a Plurilateral** Trade Agreement shall be governed by the provisions of that Agreement.

WTO Membership- Ethiopia

- ▶ The **vague nature of this rule** and the fact that **decisions in the WTO are consensus based** (among member countries) meant that in practice the terms and conditions of accession are determined by the will of member countries.
- ▶ **The lack of specificity** of the rules governing the accession process has led **the WTO secretariat** to produce practical guidelines that acceding countries and WTO members may follow in their negotiation, comprise of four phases.
- ▶ **First phase**, a state or customs territory wishing to accede submits a **formal written request to the WTO Director-General**, who then circulates the request to all WTO members.

WTO Membership- Ethiopia

- ▶ The WTO **General Council** considers the request and establishes a **Working Party** to closely examine the application.
- ▶ The applicant then submits **to the Working Party** a detailed memorandum on its foreign trade regime, describing, among other things, **its economy, economic policies**, domestic and international trade **regulations** and **IP policies**
- ▶ **Second phase**, the **Working Party members** submit written questions to the applicant to clarify features of its foreign trade regime.
- ▶ **After all necessary background** information has been obtained; the Working Party starts meetings to focus on issues of inconsistency between the applicant's international and domestic trade policies and laws and the WTO rules and laws.

WTO Membership- Ethiopia

- ▶ **Third stage, comprehensive multilateral and bilateral negotiation** on the terms of accession will be held.
- ▶ **The multilateral negotiations focus** on the compliance with the WTO rules and disciplines while in **bilateral negotiations** each member of working party negotiates with the acceding country on the specific market access commitments.
- ▶ The **result** of the negotiations is “the accession package” **consisting of** the Report of Working Party, the goods and services schedules, and the accession protocol.
- ▶ The Working Party has the **responsibility of determining the terms of accession and incorporating them in a draft Protocol of Accession**, which is submitted to the General Council/Ministerial Conference.

WTO Membership- Ethiopia

- ▶ In The final phase, the **decision** on accession will be made.
- ▶ **Once the final package**, consisting of the report, protocol and lists of commitments is presented to **the WTO General Council or the Ministerial Conference** and a two-thirds majority of WTO members vote in favour, the applicant is free to sign the protocol and to accede to the organization.
- ▶ **In most cases**, the country's own parliament or legislature has to ratify the agreement **before membership** is complete.

WTO Membership- Ethiopia

- ▶ **Pros and Cons of joining the WTO for Ethiopia**
- ▶ **Almost all of** the politically and economically **vital nations** on the planet **are members** of the WTO and the **rest are in different phases** of the accession process.
 - More than 98% of world trade, 98% of the global GDP and 96% of the world's population.
- ▶ The **undeniable benefits** are:
 - market access
 - attract foreign investment
 - prohibits arbitrary and discriminatory restrictions on foreign trade
 - utilize the WTO's dispute settlement mechanism
 - Special and differential treatment
- ▶ The **major benefit** is the openness of sustainable and predictable market access, which helps in **building investors confidence** and **attract FDI**, improves **competitiveness of local industries**

WTO Membership- Ethiopia

- ▶ But, it is argued that **market access isn't the problem** of the country and **is not what Ethiopia needs most** because the country hasn't been able to use the market opportunities such as the African Growth and Opportunity Act (**AGOA**) and Everything But Arms (**EBA**) market opportunities granted to least developing nations by the US and EU respectively.
- ▶ **Two of the largest markets in the world** are open to Ethiopian exports, even without the nation's entry into the WTO.
- ▶ **Other main markets**, such as **India, China**, etc. are also **offering** similar opportunities.
- ▶ **Ethiopia's challenges are no market access** but shortages from the supply side - being unable to produce the **required quality and quantity** of goods and services to be marketed.
- ▶ **Accession to the WTO** and opening up the market with WTO standard tariffs and non tariff barriers will only bring a devastating effect on the local infant industries which are not in a position to compete with products of any of the developed nations.

WTO Membership- Ethiopia

- ▶ It will also hurt the **agriculture** and **service** sectors.
- ▶ The **internal readiness to reap the benefits** and **withstand the challenges** in the WTO system is also an Important concern- institutional development.
- ▶ WTO is **not a charity organization**, it is a market administering body and there is a stand that **a country shouldn't join the club unless it has a benefit** to make from the organization.
 - For example, analysis should be made on the agreements Ethiopia is going to negotiate against the **reality in Ethiopia**.
- ▶ **Throughout the process**, the burden is on the applicant to satisfy the demands of existing WTO members.
- ▶ This **one-sided procedure** taking longer and longer time is very costly and complex.

WTO Membership- Ethiopia

- ▶ The country is **required to revise laws and procedures** as well as **reorganize institutions** compatible with that of the agreed trade practices.
- ▶ WTO **accession is not an end in itself** but a means to achieve greater national economic development being a member of the WTO are mixed with **potential challenges**.
- ▶ The country needs to be ready for joining the **merciless global trade competition**.
 - The public institutions (for enforcement)
 - The private sector (for competition)
- ▶ The fate of the **finance sector** (banking, insurance), the **telecom** and **other protected services**
- ▶ Some argued **needs more time to prepare and fulfil the requirements** and until it attain the middle income status?

WTO Membership- Ethiopia

- But, **there will be specific requirements** and **higher expectations** in the accession and negotiation process- after being a middle income
- ▶ Some question the **developmental state** structure.
- ▶ **The impact on domestic laws**
 - Custom laws and valuation practices
 - Domestic tax laws
 - IPR laws
- ▶ **Important questions**
 - Why the country needs to join the organization now and why not before?
 - How will Ethiopia benefit by joining the WTO and what will it lose?
 - What must the country do to gather the benefits and minimize the shocks, if it succeeds in joining the WTO?

Ethiopian accession endeavour so far

- ▶ Ethiopia has been a member of the WTO **with an observer status** since 1997
- ▶ According to the **general guidelines of WTO**, an observer country must submit its accession application within five years of becoming an observer.
- ▶ However, Ethiopia **has not been able to submit** such an application within the specified time mainly **due to the war with Eritrea** which diverted the attention of the authorities away from such endeavours.
- ▶ Ethiopia was **granted an extension** and has formally **applied** for accession to the WTO on 13 January 2003.

Ethiopian accession endeavour so far

- ▶ On 10 February 2003, a working party was established by the General Council to examine its application, with the chairmanship of Mr. N. McMillan.
- ▶ The next phase in the negotiation process, to provide a memorandum detailing the country's trading regime (i.e. its tariff and other regulations), took about four years- until January 25, 2007.
 - The reasons mentioned for the delay are lack of human resources specialized in such areas and lack of information availability (i.e. the information needed was not well organized in one organization/portal.)
- ▶ After examining the memorandum, questions and replies were conducted between the Working Party and the Ethiopian government between January 2007 and February 2008.

Ethiopian accession endeavour so far

- ▶ Following that, the first Working Party meeting was held on 16 May 2008 and the meeting examined the documents supplied until then and ended with second round questions and suggestion that Ethiopia submit its goods and services offer.
- ▶ In the meantime, the chairperson of the Working Party retired and appointment of the next chairperson took some time and eventually, H.E. Dr. Steffen Smidt was appointed as chairman in October, 2010.
- ▶ Following the chairman's appointment, the second round meeting of the Working Party took place on 6 May 2011, though Ethiopia was not able to submit its goods and services sector offer and the meeting was postponed

Ethiopian accession endeavour so far

- ▶ Ethiopia submitted its goods sector offer on 17 February 2012
- ▶ Submitted answers to newer questions on 20 February 2012.
- ▶ To examine the answers and the goods sector offer, a third round meeting of the Working Party was held on 27 March 2012; and two issues were raised by the Working Party:
- ▶ **First**, the binding tariff in Ethiopia's goods offer was too high.
- ▶ **Second**, Ethiopia has not submitted its service sector offer.
 - due to the complexity of issues involved and lack of man power experienced and skilled in these issues.

Ethiopian accession endeavour so far

- ▶ In recent years the process is denied attention from the side of the government.
- ▶ So, it is not certain when the process will be completed and the country will officially join the organization.
- ▶ Structurally, the council of ministers has organized Ethiopia's WTO negotiating team by the council of ministers directive No 1/2011.
- ▶ Pursuant to the directive there is a national string committee comprising of representatives of seven stakeholder government institutions: Ministry of Trade, Ministry of industry, Ministry of foreign affairs, Ministry of Finance and Economic Development, Ethiopian Revenue and Customs Authority, National bank of Ethiopia, and Ethiopian Development research Institute.

Ethiopian accession endeavour so far

- ▶ The **prime minister appoints** a chair person and vice chair person for the National string committee.
- ▶ The chair person and vice chair person thus appointed **will serve as** lead and vice lead negotiators in the country's WTO accession process.
- ▶ The national string committee is **responsible to organize a technique committee** that is comprised of people with knowledge and experience on the respective areas.
- ▶ The technique committee has **four sub groups**: Goods sector committee, Service trade committee, Trade related intellectual properties committee, Legal affairs committee

Main Criticisms of the WTO

- ▶ Opponents of globalization, and in particular those opposed to the growing power of MNCs, argued that the WTO infringes upon national sovereignty and promotes the interests of large corporations at the expense of smaller local firms struggling to cope with import competition.
- ▶ Environmental and labour groups (especially those from wealthier countries) have claimed that trade liberalization leads to environmental damage and harms the interests of low-skilled unionized workers.
- ▶ Protests by these and other groups at WTO ministerial meetings—such as the 1999 demonstrations in Seattle, Washington, U.S., which involved approximately 50,000.

Main Criticisms of the WTO

- ▶ In response to such criticism, **supporters of the WTO** claimed that regulating trade is not an efficient way to protect the environment and labour rights.
- ▶ Although **majority of WTO members** are **developing countries** from Africa, Asia/Pacific and Latin America, many of them have little to say in decisions that are taken at WTO meetings.

Generalized System of Preferences (GSPs) for developing countries

- ▶ **Developing** and **least developed** countries are stalled to access and compete in the international market.
- ▶ The **2nd UNCTAD conference** (1968) called for the establishment of generalized, non-reciprocal, non-discriminatory and special system of preferences in favour of these countries.
- ▶ It laid down a **foundation for GSP practices**.
- ▶ **UN Centre for Development Policy (UNCDP)** defined countries based on GDP, structural barriers to growth, share of manufacturing in GDP and literacy rates.
- ▶ **Under the GSP**, more **developed countries** are expected to enact laws to offer lower trade barriers to LDCs **with out any concessions in return**.

Generalized System of Preferences (GSPs) for developing countries

- ▶ As there is **no global GSP program**, developed countries **implement their own** GSP programs.
- ▶ The programs sometimes **vary** or have **overlapping** effect.
- ▶ **AGOA**, and **EBA** are Pioneer GSPs as extensions of the US and EU GSPs.
- ▶ Recently, **China** and **India** have begun the same practice
- ▶ These non-reciprocal trade preferences (e.g. **reduced or zero tariff rates**) are implemented **on selected products** originating in **developing countries** are granted.
- ▶ This is a clear **contradiction** to the rule of non-discrimination and reciprocity in international relations in general and economic relations in particular. (UN charter, Article 1 of GATT/WTO Agreement)

Generalized System of Preferences (GSPs) for developing countries

- ▶ The goals are to:
 - Increase export earnings through larger volume and more diversified exports.
 - Promote industrialization and accelerate economic growth in developing world

African Growth and Opportunity Act(AGOA) of USA

- ▶ In 1975, President Gerald Ford designated 89 developing nations and 43 dependent territories as eligible for special tariff concessions.
- ▶ In 1993, the program has undergone changes to ensure graduation of more advanced developing countries from the GSP.
- ▶ In 2000, the US enacted a Trade Act called AGOA that extend preferences under the previous US GSP with the goal of significantly enhancing access to the US market by providing duty-free entry for qualifying Sub-Saharan African countries.

African Growth and Opportunity Act(AGOA) of USA

- ▶ AGOA further **increased stability of accesses and preference margins** with due emphasize on the mutual interest of the US and beneficiary countries.
- ▶ **Support developments** in the region by **boosting trade and FDI**
- ▶ It was **originally for eight years**, in 2008 it was **extended until 2015** and now renewed to 2025.
- ▶ In order **to qualify for preferences** under AGOA, the US **President must establish** the country has made or is making continual progress towards:
 - A **market-based economy** that protects private property rights
 - The **rule of law** that guarantees fair trials and equal treatment by the law

African Growth and Opportunity Act(AGOA) of USA

- The elimination of barriers to US trade and investment by providing national treatment, protecting IPRs and resolving bilateral trade disputes.
 - Economic policies to reduce poverty, increase the availability of health care, educational opportunities and expand physical infrastructure
 - A system to combat corruption
 - Protection of internationally recognized worker rights
- ▶ In addition, the country **may not be engaged** in activities threatening US national security, violate internationally recognized human rights or aiding acts of terrorism
- ▶ Hence, **the application procedure** and **meeting of eligibility criteria** takes time and is costly.
- ▶ The preferences **can be terminated** if an eligible country is not making continual progress in meeting these requirements.

Every Thing but Arms (EBA) of EU

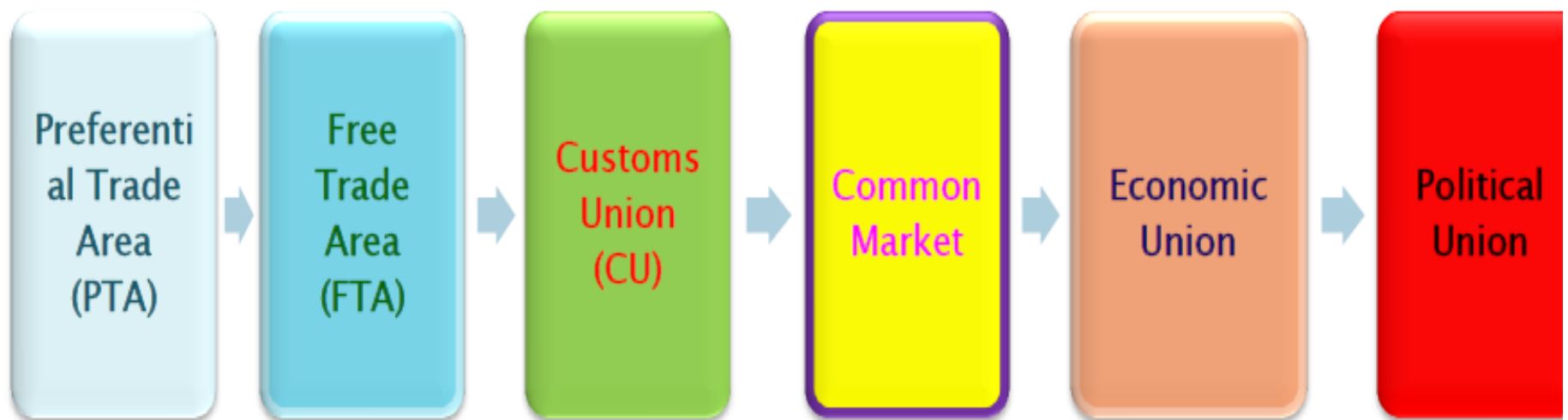
- ▶ EBA is a special arrangement **for LDCs** under the EU GSP.
- ▶ The initiative **was signed in 2001** (Council Regulation 416/2001) to unravel the increasing marginalization of LDCs in the world economy.
- ▶ **It provides LDCs** with duty-free and **quota-free** access to the European market **to imports of all products except arms**.
- ▶ The special arrangement **does not have an expiry date** and the beneficiary country continue to receive benefits **except**;
 - When the **UN removes the country from the list of LDCs** (withdrawal with a minimum transitional period of 3 years).
 - **Provisional suspension** when the European Community's financial interests are at stake due to **massive increases in imports** of products from LDCs.
 - **Temporary withdraw** if there have been **serious and systematic violations of** social rights or principles of labour law or certain other serious circumstances.

Every Thing but Arms (EBA) of EU

- ▶ In order **to be eligible** for the special arrangement under EBA, the country **must be recognized** and classified **as an LDC** by the UN.
- ▶ The country **isn't required to make application** for preferences (**unlike AGOA**) but exporters still need to **apply** for preferential treatment **when they export**.
 - This might **make countries more likely to export under EBA** since the preferences are **more easily accessible** and EBA to have a more significant effect on exports from LDCs.

Regional Economic Integrations and Agreements

- ▶ **Regionalism** is the process whereby a group of nations in a geographic region cooperate **to reduce or eliminate barriers** to the flow of products, people, or capital.
 - A regional bloc **increase cross-border trade** and **investment** choice, lower prices, increased productivity and raise living standards.
- ▶ There are **five levels**.
 - **Free trade area** is the lowest extent of national integration, **political union the greatest**.
 - Each level of integration incorporates the properties of those levels that precede it.



Low Tariffs
between
members

No Tariffs/
removal of all
trade barriers b/n
members.

&
Each country
determines its
own barriers
against
nonmember,
which may vary

Removal of all
trade barriers b/n
members.

&
Erect a common
trade policy
(tariffs) against
nonmembers
including
negotiation with
supranational
organizations such
as the WTO.

Free movement
of factors of
production

remove all
barriers to trade
and the
movement of
labor and capital
between
themselves but
erect a common
trade policy
against
nonmembers

Unified monetary
and fiscal policies

remove barriers to
trade and the
movement of labor
and capital, erect a
common trade
policy against
nonmembers, and
coordinate/harmo
nize their
economic policies
(tax, monetary,
and fiscal
policies).

Ultimate stage:
cession of
sovereignty

Greater
integration

countries
coordinate
aspects of their
economic and
political systems,
common stance
on economic
and political
policies
regarding non-
member
nations.

Benefits & Drawbacks of REIs

▶ **Benefits:**

- ▶ **Trade Creation:** Increase in trade, enhance consumers choice, cheap access (b/c of lowering of trade barriers such as tariffs) and lower costs lead to higher demand. **Increase specialization, efficiency, consumption, and raise standards of living.**
- ▶ **Greater Consensus:** Eliminating trade barriers in smaller groups of countries may make it easier to gain consensus as opposed to working in the far larger WTO.
- ▶ **Political Cooperation:** A group of nations can have significantly greater political weight than nations have individually **especially in negotiating in forums like the WTO.** It also **reduces** the potential for military conflict among members.

Benefits of REIs

- ▶ **Employment Opportunities:** Regional integration can expand employment **by enabling people to move from country to country** for work, or to earn a higher wage.
- ▶ **Drawbacks**
- ▶ **Trade Diversion:** Diversion of trade **from efficient non-members to less efficient members**
- ▶ **Loss of National Sovereignty:** Successive levels of integration require nations to **surrender more sovereignty**.

Regional Integrations in Africa

- ▶ African trading blocs economic integration has proceeded almost exclusively on regional than pan African scale.
- ▶ **The Arab-Maghreb Union(AMU):**It's the product of calls for unification in northern Africa by Arab nationalists since 1920s and the independence of Tunisia and Morocco in 1956 with .
- ▶ In 1988, 5 Heads of States met in Algiers to create AMU and in 1989 signed AMU treaty in Marrakech.
 - The treaty aimed to coordinate, harmonize and rationalize their policies and gradually revitalize free movement people, goods, services and capital.
- ▶ In 1991, members agreed an aggressive liberalization program with the hope to form full free trade agreement in 1992 and establish common market in 2000.

Regional Integrations in Africa

- ▶ The economic community of central African States(ECCAS) :Begin in 1985 with 11 countries and an intent to form a customs union by 2003.
- ▶ They planned gradual elimination of tariff and non tariff barriers and was successful except the political chaos in the region (especially in Congo, Burundi and Ruanda in the 1990s).the cause problems to the intraregional relations and some countries fought for opposing sides.
- ▶ ECCAS has had the least successful economic integration; trade flows have not grown rather decrease with the political and ethnic chaos.

Regional Integrations in Africa

- ▶ **The economic community of West African States(ECOWAS)**
: **formed** by **15 states in 1975**, even
- ▶ Dominated by **Nigeria**, newly independent states felt that a trading group would **reduce dependence on France** and other colonial powers and **allow private African business to compete more effectively**.
- ▶ The region has substantial **mining and agriculture capacity**, which has led most economies specialised in some exports.
- ▶ Like other blocs, it was established with the **nominal goals of** eliminating intraregional tariff and non tariff barriers, liberalize the movement of factors of production, and adopt common external economic policies.
- ▶ They **planned free trade area in 1989** and **customs union in 1994** but remained with inconsistent applications
- ▶ 8 nations **lifted barriers** in 2000
- ▶ **Visa and entry permit requirements** had been substantially reduced for free labour mobility)

Regional Integrations in Africa

- ▶ **Common market for Eastern and southern African Countries(COMESA):** formed in December 1994, replacing a Preferential Trade Area which had existed since 1981.
- ▶ It's a FTA with 21 member states- Ethiopia is member
- ▶ In 2008, COMESA agreed to an expanded free-trade zone including members of two other African trade blocs, the East African Community (EAC) and the Southern Africa Development Community (SADC).
- ▶ COMESA is also considering a common visa scheme to boost tourism.

Remark on RIs in Africa

► Potential gains:

- Efficient allocation of resources
- Increased trade (inter and intra)
- Strong negotiating positions at international forums
- Improved productivity
- More efficient provision of public goods
- Reduce regional conflicts

► Major Challenges:

- Multiple and overlapping memberships
- Limited market size
- Inadequate infrastructure
- Absence of a system composition for losers;
- Lack of political commitments;
- Lack of effective supra-national institutions

Remark on RIs in Africa

- Deviating from roadmaps to integration and
- Unequal levels of economic development,
- Lack of commitment for implementation of protocols (no enforcement mechanisms)
- Lack of harmonisation of policies: different institutional and legal systems,
- Lack of regional drivers and Insufficient coordination at continental level
- The issue of state sovereignty

AFRICAN CONTINENTAL FREE TRADE AREA

- ▶ Is a continental free trade area **founded in 2018**, with trade commenced as of 1 January 2021
- ▶ It was created by **the African Continental Free Trade Agreement** among 54 of the 55 African Union nations.
- ▶ The free-trade area is **the largest in the world in terms of the number of participating countries** since the formation of the World Trade Organization.